ACADEMIC CENTRAL

PRACTICE EXAMINATION

# GRADE 10

# ECONOMICS P1

## MARKING GUIDELINE

**MARKS: 100**

**Marking guideline for the Academic Central Grade 10 Economics Paper 1 practice examination.**

Written by Academic Central for practice, following the CAPS curriculum for Grade 10. It is not a Department of Basic Education marking guideline.

**How to mark:** each ✓ is one mark. Accept other relevant, correct answers.

## SECTION A

**1.1** 1.1.1 B ✓✓ 1.1.2 A ✓✓ 1.1.3 B ✓✓ 1.1.4 B ✓✓ 1.1.5 C ✓✓ (10)

**1.2** 1.2.1 C ✓✓ 1.2.2 E ✓✓ 1.2.3 A ✓✓ 1.2.4 B ✓✓ 1.2.5 D ✓✓ (10)

**1.3** 1.3.1 Substitutes ✓✓ 1.3.2 Labour force (economically active population) ✓✓ 1.3.3 Taxes ✓✓ 1.3.4 Imports ✓✓ 1.3.5 Surplus (excess supply) ✓✓ (10)

**TOTAL SECTION A: 30**

## SECTION B

## QUESTION 2

**2.1** What to produce? ✓ How to produce? ✓ For whom to produce? ✓ (3)

**2.2** The value of the next best alternative that is given up when a choice is made ✓✓. Example: if I spend my R50 on airtime, I cannot use it for a movie ticket; the movie is my opportunity cost ✓✓. (4)

**2.3** (a) Inside: resources are not fully or efficiently used (e.g. unemployment) ✓✓. (b) Outside: the combination cannot be produced with the current resources and technology (unattainable) ✓✓. (4)

**2.4** Households ✓; firms (businesses) ✓; government (the state) ✓; the foreign sector ✓ (4)

**2.5** Market economy: resources are privately owned ✓; decisions are made by households and firms through prices and markets ✓; profit motive and competition ✓. Command economy: the state owns most resources ✓ and a central authority decides what, how and for whom to produce ✓. (5)

**[20]**

## QUESTION 3

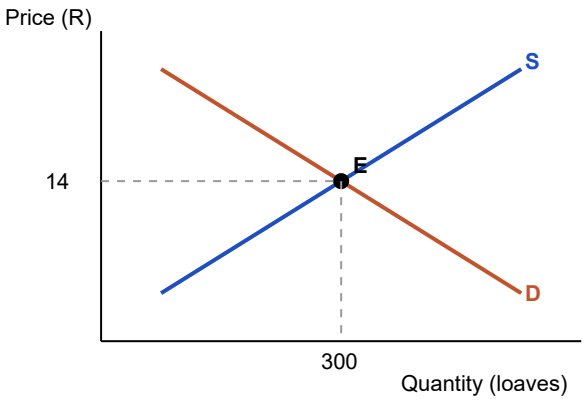
**3.1** The quantity of a good that consumers are willing and able to buy ✓ at different prices during a certain period ✓. (2)

**3.2** When the price of a good rises, the quantity demanded falls ✓, and when the price falls, the quantity demanded rises, if other things stay the same (ceteris paribus) ✓. (2)

**3.3** Equilibrium price R14 ✓; equilibrium quantity 300 loaves ✓ (2)

**3.4** Surplus ✓; 400 − 200 ✓ = 200 loaves ✓ (3)

**3.5** (6)




Marks: both axes labelled ✓; demand curve sloping down ✓; supply curve sloping up ✓; curves labelled ✓; equilibrium point shown ✓; equilibrium price R14 and quantity 300 shown ✓

**3.6** Any TWO: an increase in consumers' income ✓; an increase in the price of a substitute (e.g. rolls) ✓; population growth; a change in tastes in favour of bread; advertising (2)

**3.7** The demand curve shifts to the right ✓. At the old price there is a shortage, so the price rises ✓. Both the equilibrium price and the equilibrium quantity increase ✓. (3)

**[20]**

## SECTION C

## QUESTION 4: ESSAY

**Introduction (max 2):** Unemployment occurs when people who are willing and able to work cannot find jobs; South Africa has one of the highest unemployment rates in the world.

**Body, main part (max 20):** Types, with causes: *structural*: the skills of workers do not match the jobs available, e.g. because of new technology and the decline of mining and farming ✓✓; *cyclical*: during a recession, demand falls and firms retrench workers ✓✓; *frictional*: people between jobs or looking for their first job ✓✓; *seasonal*: jobs only in certain seasons, e.g. fruit picking and tourism ✓✓. Other causes: poor education and skills ✓; slow economic growth ✓; rapid population growth ✓; high labour costs and strict labour laws ✓; load shedding and high costs that close businesses ✓.

**Body, additional part (max 6):** Evaluation of solutions: government can improve education and skills training, e.g. TVET colleges and learnerships ✓✓; public works programmes such as the EPWP create short-term jobs but are not permanent ✓✓; support for small businesses and entrepreneurs (funding, less red tape) creates lasting jobs ✓✓; businesses can offer internships and youth employment programmes ✓; attracting investment and improving infrastructure (electricity, transport) helps the economy grow ✓.

**Conclusion (max 2):** a relevant conclusion, e.g. unemployment can only be reduced through faster economic growth combined with better skills.

| Essay structure | Marks |
|---|---|
| Introduction | 2 |
| Main part: types and causes | 20 |
| Additional part: evaluation of solutions | 6 |
| Conclusion | 2 |
| **Total** | **30** |

**TOTAL: 100**

**END OF MARKING GUIDELINE**